

100,000 shares. Our futures positions produced a \$4.4 million profit. We were able to buy and sell record amounts of stock, adding value in the process. The crucial negative surprises were, of course, the size and speed of the decline, and the immediate collapse of the foreign markets.

On the way to lunch on Tuesday, I was walking with two of my associates. "Tell me," I asked, "what is that big bright thing in the sky?" They looked confused but figured out that it was the sun. "The same sun that was there last week?" I continued. They agreed it was. "Then maybe the world hasn't changed so much just because stocks went down," I concluded.

However philosophical that final note in my diary, I was worried that *our* world had indeed changed. I was afraid we'd only seen the overture to a long and nasty bear market, maybe to a severe economic depression. Over the long run, the stock market reflects what happens in the real world. Sometimes it signals what's happening when the pattern of actual events isn't yet clear. And sometimes, too, it rings a bell about what's ahead.

When, in my concern, I tried to raise cash, I found that there were no buyers for most of my small-company stocks. And as the diary makes clear, when I tried to sell some foreign issues, that was no use either: all the markets tanked. That wasn't supposed to happen. Diversification across borders, we'd been assured, would dampen total portfolio volatility, but everyone around the world got mashed. So much for academic theory.

In scrounging for whatever cash I could get my hands on, I used the carpenter system. That's when you look for the nails that are sticking up and bash them. I sold whatever stocks had held up relatively well.

I needn't have been so apprehensive, of course. Within months the market made up its loss and went on to new highs. I sold some fine stocks I should have held. But at least I bought others, often at ridiculous prices. Bear markets are weird: you can buy the best of stocks dirt cheap.

On the whole, I'd probably have been as well off if I'd stood pat